

Lalit Chandra Trivedi, former General Manager of East Central Railway, says the Indian Railways has set a target of transporting 3 billion tonnes of freight by FY27, but is struggling to move beyond 1.6 billion tonnes (FY24). “Freight growth has been hardly 1-2%. The revenue loading of Indian Railways is not on par with the GDP growth of the country,” Trivedi tells *BT*.

First and last-mile connectivity has remained an issue for the Railways, he adds, and to address that there has to be an incentive to set up private sidings—railroad tracks that connect the company’s industrial premises for loading or unloading.

Trivedi says the Budget should announce measures to promote the production of commodity-specific wagons, like for bulk cement and other products, on the lines of those done for automobiles. Also on the agenda should be an increase in speed of freight movement. “Freight trains are unable to move beyond 25 km per hour despite two dedicated freight corridors, and that needs immediate attention,” Trivedi adds.

HIGHWAYS

58 | With consistent support from the Centre over the past few years, the speed of National Highway construction has increased, with a focus on improving connectivity across the country. But considering the boom in the logistics sector and increase in passenger movement on the roads, there is a need for the rate of highway construction to increase further to ensure that the wheels of commerce continue to roll smoothly.

The government has laid strong emphasis on initiatives like the Pradhan Mantri Gram Sadak Yojana (PMGSY), a flagship rural road development scheme, the Bharatmala Pariyojana, and national high-speed corridors to bolster connectivity through economic corridors in the rural areas with modern road infrastructure.

The Budget is expected to increase fiscal outlay for rural roads, keeping in mind its impact on economic growth and social inclusion. The PMGSY received ₹16,100 crore in the current fiscal.

AVIATION

The Indian aviation industry has seen massive growth in the last decade thanks to an increase in traffic and better connectivity to Tier II and III cities. The government has been working to enhance airport infrastructure and make it world-class as it strives to meet the projected increase in air passenger traffic, which is expected to grow around 7-10% annually.

The infrastructure build out will also help accom-



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HELPING AVIATION SOAR

1 There has been an increase in the number of airports in the country from 74 in 2014 to 158 in 2024

2 From April to November, domestic air passenger traffic was 107.4 million with a YoY growth of 6.7%

3 545 routes operationalised under the Ude Desh ka Aam Nagrik (UDAN) scheme

4 ₹60,000 crore of capex by private airports to undertake infrastructure development by FY27

modate the record aircraft orders from Indian airlines, with 600 aircraft expected to be added to Indian hangars by 2030.

The Budget is expected to focus further on enhancing regional connectivity, modernising airport infrastructure, supporting domestic maintenance, repair, and overhaul (MRO), and aircraft leasing. These could improve operational efficiency and lower costs in the long run, but initially, capital expenditure might be passed on to customers.